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Navigating Development Finance

How Institutions and Regions Drive Global Practices

In Partnership with

Santander
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From the Editor
Talha Haroon



Welcome to the NER's September Report on Navigating Development Finance.

Global development finance is entering a decisive and unsettled moment. The long-dominant model of aid and concessional lending is no longer sufficient to meet the demands of emerging markets. What is taking shape instead is a more experimental, politically charged, and uneven system where debt sustainability, climate imperatives, and geopolitical rivalries collide with the search for capital. Donor fatigue, rising borrowing costs, and shifting alliances are forcing governments and institutions to explore new instruments and new rules of engagement.

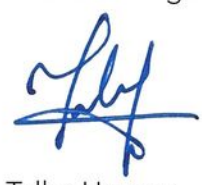
At the institutional level, the expansion of blended finance and the proliferation of green and thematic bonds are changing how development is defined and financed. Regionally, the landscape is increasingly diverse. Remittance corridors sustain growth in South Asia, Mexico relies heavily on U.S. capital flows, ASEAN markets are pioneering climate-linked securities, and Gulf sovereign wealth funds are repositioning themselves as engines of diversification and innovation. Each example reveals not just financial flows, but the competing logics of resilience, dependency, and ambition.

On the ground, these shifts are made visible in the everyday realities of development finance. In Africa, credit assessments determine whether capital reaches SMEs. In Egypt, mega-project ambitions are tested by external financing constraints, while in South Asia, fragile economies navigate the twin pressures of external shocks and domestic vulnerabilities. These stories remind us that finance is never abstract; it structures choices and constrains futures.

This report is also distinguished by a Q&A with one of Nottingham's alumni in the industry. We are honoured to feature Victoria Clarke, UK Chief Economist at Santander CIB, whose reflections bridge institutional practice and real world application. Her insights, and the generous support of Santander CIB, ground our student-led analyses in the realities of international markets and underscore the value of dialogue between academia and industry.

As global development finance continues to evolve, the central question is whether emerging frameworks and innovations can truly deliver sustainable, inclusive growth, or whether they risk entrenching systemic divides. We hope the insights gathered in this report contribute meaningfully to that debate and help illuminate the pathways ahead.

With best regards,



Talha Haroon
Editor-in-Chief

About the NER

The Nottingham Economic Review is a student-led journal dedicated to advancing economic discourse through rigorous and thought-provoking analysis. We publish high-quality reports and articles alongside contributions from academics and industry professionals, fostering a dialogue between emerging and established voices. Our editorial team aims to curate content that engages a diverse readership and amplifies student analysis.



Global & *Frameworks* Institutional *Agendas*

This section examines how global frameworks and institutions shape development finance. From blended finance and EU regulation to ESG standards, the contributions reveal both the opportunities and tensions at the heart of today's financial architecture.

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When Aid Falls Short, Can Blended Finance Deliver?

Lalo Agha

Donor aid has failed to deliver on its promises. Despite trillions flowing into regions such as sub-Saharan Africa over the past decades, it remains the poorest region in the world (Atitianti and Asiamah, 2023). Traditional aid is widely criticised for inefficiency, fostering dependency, and entrenching donor–recipient imbalances. As Valentina Finckenstein (2021) notes, Lebanon absorbed nearly $170 billion in capital inflows in the two decades after its civil war (more than the entire Marshall Plan) yet still suffers from crumbling infrastructure and a collapsing economy.

At the same time, governments face mounting pressures: urgent climate targets, unsustainable debt burdens, and citizens' unmet needs. Public finances are being squeezed further, exemplified by Kier Starmer's UK reducing aid to 0.3% of GDP – 40% lower than just five years ago (Brien and Loft, 2025). Against this backdrop, the search for new, non-traditional forms of development finance has become critical. One potential answer is blended finance – a mechanism designed to maximise the impact of each pound of foreign aid while simultaneously advancing climate, development, and humanitarian goals.

The Mechanics of Blended Finance

In traditional top-down donor aid models, the public and private sectors remain largely disconnected. Governments either fund and organise projects directly or channel money through states and organisations – an approach fraught with risks. State led projects are vulnerable to mismanagement, while in many countries corruption ensures that funds rarely reach those who need them most. On the other side, private capital has little incentive to enter low-growth, high-risk economies, and when it does, the benefits often accrue to corporations rather than host communities.

Blended finance seeks to bridge this divide by deploying public capital to attract and de-risk private investment. In practice, this can take several forms: first-loss capital, where public funds absorb initial losses to shield investors, or concessional loans, where governments provide below-market rates to make otherwise unviable projects investable.

Frequently, these projects are tied to climate objectives. In 2025, for example, British International Investment committed £5.6 million to MOPO, a solar battery company expanding into the Democratic Republic of Congo, where 80% of the population still lacks electricity (Development Office, 2025). Theoretically, MOPO enters a new market with reduced risk, while the DRC receives investment and clean energy; for governments, market mechanisms drive efficiency.

Lalo is a third-year PPE student at the University of Nottingham. His work explores the intersection of normative frameworks and policy design, unpacking how philosophical ideas and economic tools shape domestic governance and decision-making.



This model marks a decisive departure from the old donor-aid paradigm. By aligning public and private interests, it mitigates corruption and governance failures while reframing international cooperation: not as one-sided giving and receiving, but as partnership around shared climate and development goals.

Implications for UK policy

Blended finance aligns closely with Britain's current priorities. If used effectively, it could position the UK as a leader in both global development and climate action. With Kier Starmer signalling his intent to continue the austerity mindset that began under David Cameron – stating that "the treasury will be ruthless on public spending cuts" (Crerar, 2025) – the need for efficient spending is more urgent than ever. Whereas previous governments could allocate a larger share of public funds to development, today's fiscal constraints demand fresh approaches. Blended finance offers one such path, with benefits visible through three lenses: environmental, international relations, and growth.

The environmental lens highlights the perspective of developing nations. At COP27, Barbados' President Sandra Mason underscored a stark disparity: global North countries borrow at interest rates of 1–4%, while the global South pays an average of 14% (Bridgetown Initiative, 2024). For nations already financially strained, this makes pursuing net zero nearly impossible. The injustice is profound: countries like Barbados, which contribute minimally to global emissions yet suffer disproportionately from climate change, face the greatest obstacles (Strazzante et al., 2022). Blended finance provides a mechanism to redress this imbalance. By mobilising private capital, it enables direct climate solutions – such as the MOPO solar energy expansion in the DRC – while introducing FDI and growth opportunities that might otherwise never reach vulnerable economies. For Britain, this is a way to contribute tangible, systemic change.

Similarly, the international relations lens frames blended finance as a tool of soft power. In a world of rising protectionism, strengthening ties with regions such as sub-Saharan Africa and Southeast Asia is strategically valuable. Directing financial flows to resource-rich Commonwealth nations like Nigeria and South Africa could support mutual development while addressing historic legacies of exploitation. With global instability driven by Trump's tariffs, Sino-American trade tensions, and Russia's aggression, the UK's need for reliable partners has only grown. Building partnerships on cooperation and shared prosperity, rather than extraction, would position Britain to benefit from the underutilised human and physical capital in these regions.

A growth lens reflects the domestic benefits. Blended finance encourages private firms to take risks in new markets, unlocking new consumer bases and revenue streams. This expansion can translate into higher corporation tax receipts at home, while also solidifying the UK's role as a hub for structuring and managing complex deals. By leading in green technology and financial innovation, London could cement its place as a global financial centre built on fairness, sustainability, and mutual benefit. Expanding initiatives such as

> "Today's fiscal constraints demand fresh approaches – blended finance offers one such path, with benefits visible through environmental, international relations, and growth lenses"

the Bridgetown framework could further showcase Britain's capacity to mobilise private capital for the world's most climate-vulnerable nations. In doing so, the UK would not only support global development but also secure long-term, non-exploitative pathways for its own economic growth.

Imperatives of Oversight

Blended finance is not a panacea. Its effectiveness depends on careful implementation, and the risks are considerable. The UK's own development finance institution, British International Investment, was criticised in 2010 for prioritising profit over local development, making use of tax havens, and undertaking ethically questionable investments (Benton, 2010).

These shortcomings were largely the result of insufficient oversight. Any expansion of blended finance must therefore be accompanied by robust governance frameworks to ensure that the primary objective remains development rather than profit. Continuous monitoring and evaluation are also necessary to guarantee that projects create genuine value for local communities, rather than functioning as exercises in reputational enhancement or greenwashing for private actors.

There are also important structural concerns. Excessive reliance on first-loss capital or concessional loans risks transferring disproportionate financial responsibility to taxpayers, effectively underwriting private profits. Such arrangements may generate moral hazard, incentivising firms to take on risks they would not otherwise assume, in the expectation that public funds will absorb potential losses. To mitigate this, clear safeguards and accountability mechanisms are required to ensure that risk-sharing arrangements remain balanced and aligned with development outcomes.

Ultimately, the successful application of blended finance will depend on rigorous oversight, transparency, and accountability. Without these, there is a significant danger that it will reproduce the same inefficiencies and imbalances for which traditional aid has long been criticised, albeit under a new institutional framework.

Conclusion

When it comes to aid, the bottom line is that its outcomes must be tangible, sustainable, and equitable. Innovation in development finance is essential, and blended finance offers a powerful means of unlocking private capital while enabling governments to harness market forces.

Despite Britain's diminished standing as an economic leader in recent decades, it now has an opportunity to reclaim a pioneering role in green finance. Done right, blended finance can transform development from a one-way transfer into a genuine partnership for shared progress. The question is no longer whether the UK can afford to innovate in development finance – it is whether it can afford not to.

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Regulatory Powerhouse: How EU Rules Shape Development Finance

Helena Oprandi

For decades, development finance was primarily about mobilising capital through aid flows, concessional loans, and debt relief packages. Governments, multilateral development banks, and philanthropies focused on raising billions for infrastructure, health, and climate resilience in the Global South. While capital remains essential, a quieter but equally significant shift is underway.

The European Union is increasingly shaping global development not just by providing money, but by leveraging the power of its vast single market. By setting high standards that companies worldwide must adopt to maintain access to its 450 million consumers, the EU exerts a powerful influence known as the "Brussels Effect." This regulatory power has quietly become a cornerstone of modern sustainable development, moving beyond traditional finance to embed environmental and social governance into the very fabric of global business.

The Brussels Effect in Action

At its core, the Brussels Effect involves moving from pure financing to rule-setting that influences modern development. For multinational firms, this means that it is often simpler and more cost-effective to apply EU standards globally than to manage separate compliance systems. In essence, Brussels sets the price of entry, and businesses integrate these norms into their worldwide operations.

The impact of this is observable not only int he EU but across regions. EU regulations on everything from data privacy to food safety have become global benchmarks. The EU's General Data Protection Regulation GDPR, for instance, directly inspired similar regulations in Brazil, South Korea, and over 20 other jurisdictions. Similarly, in climate policy, the EU's Carbon Border Adjustment Mechanism (CBAM) is a game-changer, requiring exporters in key industries to account for their carbon emissions if they want to sell into the EU. This single policy is already reshaping global trade flows, estimated by the World Bank to be worth over €50 billion annually.

A similar story is now unfolding in sustainable finance. The EU's Green Bond Standard is set to bring rigorous new definitions to a market worth over €100 billion a year, directly combating greenwashing. The Sustainable Finance Disclosure Regulation (SFDR) has fundamentally re-categorized how the world invests: nearly €4 trillion in assets are now classified under its framework, forcing international fund managers to change their global reporting practices just to keep access to European investors.

The consequence are profound: the EU can now steer global development without deploying

Helena is a quantitative economist specializing in econometrics, data science, and machine learning. A graduate of the University of Verona, she applies economic data to address social and environmental challenges. She is preparing to pursue a PhD in quantitative economics and policy analysis.



massive funds. By defining what "green" and "sustainable" truly mean, Brussels indirectly decides which projects in Nairobi or Jakarta attract trillions in ESG capital. For emerging markets, aligning with these standards is becoming key in unlocking the EU's massive €13 trillion investment fund industry.

However, this power is not without its critics. Many argue that the high cost of compliance places a disproportionate burden on developing economies, which may lack the resources for complex monitoring and reporting. There's also a legitimate concern about "regulatory expansionism", that EU standards might prioritize European political goals over local development needs, potentially sidelining projects that are crucial for domestic growth but don't perfectly fit a European definition of sustainability. Furthermore, the risk of global fragmentation looms, as competing frameworks from the US or China could force everyone to navigate a messy web of conflicting rules.

Finance as Regulation: The EU's Sustainable Agenda

However, at the heart of the EU's Sustainable Finance Agenda, a core component of the European Green Deal, are two flagship policies: the EU Taxonomy Regulation and the Corporate Sustainability Reporting Directive (CSRD). Unlike voluntary ESG frameworks, these instruments legally embed sustainability into the very foundations of European markets.

The EU Taxonomy is a groundbreaking classification system that creates a definitive list of what counts as an "environmentally sustainable" economic activity. It sets strict, data-determined criteria for sectors from energy to manufacturing, all anchored in the "do no significant harm" principle. This means a project can't just claim to help the climate; it must also prove it doesn't damage other environmental goals like biodiversity or water resources. By giving investors a clear, common language, the taxonomy aims to combat greenwashing and channel capital towards genuinely green projects. The scale of this re-direction is massive: the European Commission estimates achieving its 2030 climate goals requires an extra €350 billion in annual investment, a gap the taxonomy is designed to help fill.

> "The EU is increasingly shaping global development not just by providing money, but by leveraging the power of its vast single market"

Meanwhile, the CSRD marks one of the most ambitious expansions of corporate reporting rules ever seen. It mandates that companies disclose detailed, standardized information on their environmental, social, and governance (ESG) performance. What makes it truly global is its scope: it doesn't just apply to EU companies; any large multinational generating over €150 million in the EU must also comply. This means that by 2028, nearly 50,000 companies worldwide, a huge jump from the previous 12,000, will be following these new European rules.

Together, the Taxonomy and the CSRD create a powerful, interlocking system. One defines what "sustainable" actually means, and the other forces companies to transparently report their performance against that definition. This EU-made infrastructure is rapidly becoming the global standard, influencing how international investors allocate trillions of dollars and pushing corporations worldwide

to adapt their strategies to access green capital.

Implications for Development Finance

The influence of EU regulation on development finance is profound, effectively setting the global standard for how projects in emerging markets are funded and built.

A perfect example is Kenya's Lake Turkana Wind Power project, the largest wind farm in Africa. With an installed capacity of 310 MW and a price tag of roughly €620 million, the project has relied on European financiers like the European Investment Bank (EIB). Their support came with a crucial condition: adherence to strict EU-level environmental and social governance standards, which often exceeded local requirements. This meant developers had to conduct extensive biodiversity assessments and establish a community trust that now funds local schools, clinics, and water projects with €1.5 million annually. While these rules increased costs and extended timelines, they set a new benchmark for transparency and social responsibility that any large renewable project in the region is now expected to meet.

A similar story has played out in Latin America. Chile is racing to become a top exporter of green hydrogen, with over $15 billion in investments planned. Because the EU is a primary target market, Chilean producers are already adapting their operations to comply with the EU Taxonomy. To be certified as "sustainable" and attract European investors, hydrogen produced in Chile must prove it uses 100% renewable energy and stays under a strict lifecycle emissions threshold.

This alignment is so strategic that the Chilean government has signed a formal cooperation agreement with the European Commission to harmonize certification systems. Major companies like Enel and Engie are already designing their Chilean ventures around these EU rules, proving that Brussels' influence is shaping not just financial flows, but entire industrial development strategies.

Together, these cases reveal that the EU is leveraging power to embed its sustainability standards directly into the global financial system. For countries from Kenya to Chile, accessing European capital now means playing by rules written in Brussels. In this new era, development is increasingly defined by how regulations crafted in one part of the world redefine what sustainable growth looks like in another.

Challenges Ahead for the EU's Development Finance Agenda

Crucially, however, this regulatory power is not without its critics. Many scholars and policymakers in developing countries argue that the EU's complex standards can act as de facto non-tariff barriers. Compliance demands specialized expertise, advanced monitoring, and costly reporting, requirements that large multinational corporations can absorb, but which often prove prohibitive for smaller local firms. This creates a troubling paradox: the "Brussels Effect" could inadvertently marginalize the very small and medium-sized enterprises that are crucial for inclusive growth and that development finance aims to support.

> The EU is leveraging power to embed its sustainability standards directly into the global financial system

A deeper, more existential concern involves sovereignty. When rules crafted in Brussels are applied from Nairobi to Jakarta, they inevitably reflect European priorities and risk overlooking local contexts. A project that is vital for domestic development, such as using natural gas as a transition fuel to expand energy access or upgrading essential infrastructure, might be deemed non-compliant under strict EU taxonomies. Consequently, it could be starved of international capital. The danger, then, is that while the EU's framework laudably raises environmental standards, it may also artificially narrow the range of financially viable development pathways available to emerging economies.

Conclusion: Building a Rule-Based Development Pathway

While cheques and grants are still fundamental, the EU's true innovation in development finance is its rulebook. By establishing the standards that global finance must follow, Europe is influencing nearly every major capital allocation decision tied to its market. This "Brussels Effect" aims to ensure that the future of development is built on a foundation of transparency and accountability. In an era that demands trillions to meet global goals, Europe's most significant export might not be euros, but the frameworks that ensure they are invested wisely.

However, regulation can't do the job alone. The EU faces a dual challenge. First, its standards must avoid being seen as imposed dictates. To succeed, they need to be co-designed with international partners, reflecting local realities and needs. This means complementing rules with robust technical and capacity-building support to ensure everyone can keep up. Second, ambition must be tempered with pragmatism. If standards are set unrealistically high or changed too often, they risk excluding the very economies they are meant to help, making the green transition less inclusive.

The ultimate measure of this agenda's success won't be in Brussels, but in emerging markets worldwide. It will be judged on whether it empowers communities on the front lines of global challenges, or whether it marginalizes them further. Striking the right balance between high standards and practical flexibility will determine if the EU's rulebook becomes a catalyst for fair development or just another barrier that widens the global financial divide.

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ESG in Context: Global Standards and Local Priorities

Maher Gidwani

Development finance institutions (DFIs) such as the International Finance Corporation (IFC) and the U.S. International Development Finance Corporation (DFC) have made environmental, social, and governance (ESG) benchmarks central to their financing, strongly shaping project design and implementation in emerging markets (Ecoactive Tech, 2025; IFC, 2025; DFC, 2024). These standards aim to promote sustainability, inclusion, and accountability. Advocates argue that ESG safeguards communities and ecosystems while ensuring long-term investment viability (Ecoactive Tech, 2025; IFC, 2025). However standards designed in the Global North risk constraining urgent growth and infrastructure priorities in South Asia, Latin America, and Africa (Ecoactive Tech, 2025; IFC, 2025).

How the IFC and DFC Operate

The IFC, a member of the World Bank Group, operates as an autonomous corporation governed by 25 executive directors, with voting power weighted by share capital. Its organizational structure encompasses investment operations, advisory services, compliance, risk management, finance, and sectoral teams such as agribusiness and infrastructure, alongside regional units across South Asia, Latin America, and Africa (IFC, 2024; Ecoactive Tech, 2025). Central to its mandate, the Environment & Social Policy division sets the IFC Performance Standards, which function as the core benchmarks for project assessment and financing worldwide (IFC ESG Guidebook, n.d.; Ecoactive Tech, 2025).

The DFC, the U.S. government's development finance arm, is led by a CEO and Board of Directors. In 2024, it reorganized into sectoral teams covering infrastructure, energy, health, agriculture, small business, and investment funds (DFC, 2024). Its mandate combines development goals with U.S. foreign policy interests, using loans, equity, political risk insurance, technical assistance, and feasibility studies. ESG due diligence is embedded in approval and monitoring processes, aligned with IFC Performance Standards, the Equator Principles, and the Sustainable Development Goals (DFC, 2024).

Case Studies: Successes and Tensions

A notable example of ESG-driven financing is the IFC–Axis Bank partnership in India, which launched the country's first blue loan in 2024. The $500 million facility supports water projects, marine recovery, and green buildings while mobilizing private capital for climate action (Axis Bank, 2024; International Finance Corporation, 2024; EQ Magazine Pro, 2024). Axis Bank has pledged $7.2 billion in ESG-aligned lending by 2030, with half achieved by March 2024 (Axis Bank, 2024). The IFC also provides advisory support and

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up to $2.9 million in incentives for EDGE-certified green construction to avoid stagnancy or project redundancy (Axis Bank, 2024).

The loan enforces strict climate and water metrics, but developers must cover upfront costs for audits, design, and reporting – expenses that can be prohibitive for affordable housing or small-scale projects (Suresh Kumar & Shobana, 2024). Moreover, projects that deliver clear environmental credentials (such as renewable energy or low-carbon infrastructure) are more attractive to ESG investors than basic but vital initiatives like rural electrification or affordable housing, which often lack visible green branding (ESG Investing in India, 2024; GI Hub, 2022). This preference can skew capital flows toward projects with measurable climate benefits while sidelining equally urgent social needs.

Even when social objectives are central, poverty-alleviation projects often involve dispersed beneficiaries and informal sectors, making ESG reporting and governance assurance more complex. Unlike corporate-led or centralized initiatives, their impact is harder to measure, which deters investors seeking clear compliance and accountability (WWF, 2019; ESG in Infrastructure, 2022).

Scale poses another challenge: many basic infrastructure projects are small or slow to generate returns, whereas ESG investors typically prefer larger, lower-risk ventures with predictable cash flows (ESG Investing in Infrastructure, 2025). The lack of standardized reporting frameworks in areas such as affordable housing further reduces transparency, limiting eligibility for ESG financing despite their critical social value (WWF, 2019).

> “DFIs and ESG investors require measurable returns and proof of benefit, which narrows the scope of the projects they can support”

Similar tensions appear in Africa, where DFIs back AfriFund Capital’s infrastructure projects under ESG conditionalities. The Lamu Port–South Sudan–Ethiopia Transport (LAPSSET) Corridor illustrates the difficulty of aligning large, multi-country development with strict ESG standards (AfriFund Capital, 2024; 2B1st Consulting, 2021). China Communications Construction Company (CCCC) initially led key contracts but withdrew amid disputes, causing delays. Security challenges and governance hurdles across Kenya, Ethiopia, and South Sudan added further strain (LAPSSET Authority, 2023). ESG compliance – impact assessments, consultations, and monitoring – introduced additional costs and management burdens, particularly for smaller contractors stepping in after CCCC’s exit (AfriFund Capital, 2025; Ecofin Agency, 2025). Still, these requirements enhanced governance, improved energy efficiency, and opened access to international capital (Africa GreenCo, 2024).

In South America, Uruguay’s Peralta Wind Power Project highlights ESG integration in a more stable institutional setting. Developed by PAMLATIR S.A. with $143.8 million in loans from the IDB and U.S. Ex-Im Bank, the project supplies renewable energy while strengthening national energy security (WWF, 2019). Community concerns over noise, land use, and biodiversity were addressed through design changes and ongoing engagement. ESG compliance increased capital costs by an estimated 5–10%, but this investment secured public support and

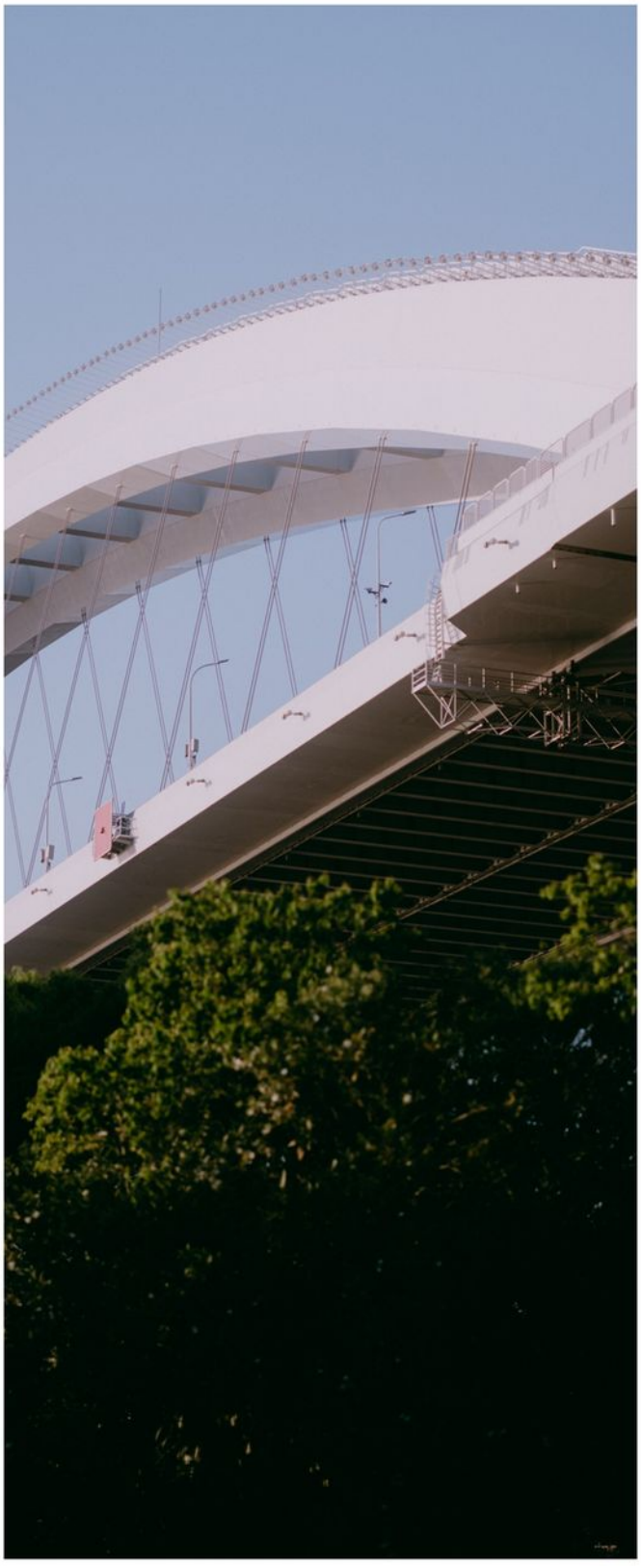
long-term viability, earning a Gold Award under the Envision Rating System (ERM, 2015; WWF, 2019).

Across these cases, the pattern is consistent: ESG standards strengthen legitimacy, reduce long-term risks, and attract global capital, but they also impose significant upfront costs, favor large developers, and channel investment toward projects with visible climate credentials and standardized reporting. This reflects the nature of the industry: DFIs and ESG investors require measurable returns and proof of benefit, which narrows the scope of projects they can support.

Conclusion

In the end, much of the infrastructure most vital for poverty reduction – electrification, housing, water systems – struggles to fit ESG investment criteria. Meeting these needs will continue to rely on governments and charitable organizations rather than capital markets alone. This does not diminish the value of sustainable finance, but it does highlight a skew in how the SDGs are interpreted in investment contexts. ESG-aligned finance remains a profit-driven tool, channeling capital into cleaner and more inclusive activities, but never intended to replace public spending on essential services. The task ahead is to keep this distinction clear – recognizing the limits of ESG while celebrating what it can realistically deliver.

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Nottingham *Graduates* in the *Industry*

We interviewed a leading professional on their experience in the field, market insights, and advice for young students starting their careers



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Navigating Uncertainty in a Changing Economic Landscape



Victoria has been the UK Chief Economist at Santander Corporate and Investment Bank since December 2020. Prior to this she spent eight years at Investec. She is consistently one of the top-ranked City forecasters of the UK economy. Victoria also has almost ten years' experience working for the UK government. She held roles on the EU Budget negotiating team at HM Treasury. She was also part of the National Economic Council team at the Cabinet Office, tasked with helping Downing Street with its economic response to the financial crisis, and part of the Star Chamber team on the 2010 Spending Review.

To begin, we'd love to hear about your journey – from your early roles at the Department for Transport and HM Treasury, through your time at Investec, and now as UK Chief Economist at Santander CIB. Looking back, how do you feel these transitions have shaped your perspective?

For me, constant learning and challenge have been the thread running through every stage of my career. Government gave me an extraordinary grounding in core skills – communications, politics, leadership, and delivery. I learned how to land projects and make policy announcements involving a wide range of stakeholders, each with different perspectives. In that respect, government played to my strengths – and helped me reinforce them – as someone who thrives on bringing people together. I also learned how to work within political constraints to design policies that were economically sound and deliverable.

In the wake of the Global Financial Crisis, I joined the National Economic Council team. The NEC was chaired by Prime Minister Brown and I spent every waking hour on tools that could both support the economy and pass the political test. It was a training school like no other. Later, as part of the 'star chamber' team driving the 2010 Spending Review, I gained invaluable experience running a tough, calculated, and politically sensitive process. Along the way, I benefited hugely from the expertise of the Government Economic Service's talented and extensive network of economists.

At Investec, I developed new communication skills, deepened the application of my analysis, and absorbed the firm's entrepreneurial spirit, which encouraged creativity. I led US economic research for a

> "Constant learning and challenge have been the thread running through every stage of my career"

decade, which gave me a critical global lens through which I gained a much better perspective on and understanding of the UK economy, and its quirks.

Since stepping into your role at Santander CIB, how have you found the experience of leading economic research and strategy at a global bank? What have been the most rewarding aspects, and what challenges have you had to navigate?

Joining Santander brought a fresh challenge: new clients, a stronger focus on fixed income markets, and the scale of a large global institution. I have always been motivated by opportunities to learn something new, so I rolled up my sleeves, listened carefully, and worked hard to understand what excellence should look like for us and for our customers. With the support of brilliant mentors, I have sought to shape that journey at Santander. It has stretched me as a leader as much as an economist – and that combination of learning and challenge is what I value most.

Leading UK economics means bringing together technical analysis, communication, leadership, and a global perspective. The most rewarding part is seeing our work have real impact – supporting clients who have been navigating challenging and volatile markets throughout my time here. Uncertainty has been the near-constant theme. You cannot assume tomorrow will look like yesterday. Shocks come quickly – and in the markets they can come hard and fast – so it is not just about forecasting, but helping people think through scenarios and resilience.

Beyond the economics, I take great pride in supporting my colleagues and helping them to grow; this has been as important as the economics itself. For me, we must always ensure that we keep learning, challenge ourselves, and if we do that we are on a very good path to delivering excellence, together.

You've analysed pivotal economic episodes in recent history – from the Covid recovery to the inflation surge and shifts in monetary policy. How have these shaped your view of the UK and global economy, and have they changed the way you approach shocks and policy responses?

The past few years have offered powerful lessons. The pandemic showed how quickly demand and supply can shift – how important both of these are after a decade in which economists focused relatively little on supply. The inflation surge of recent years underlines how important understanding structural shifts can be, in assessing the outlook and for policymakers the world over, who got wrapped up with calling things "transitory".

A key lesson is mindset. It is tempting to assume tomorrow will look like yesterday, but the real challenge is to recognize structural change and rethink our frameworks. That is more important than ever now. Adaptability and openness to challenge matter as much as technical skill. If we keep questioning assumptions and stay alert to change, we will be better equipped to understand and respond.

Recently, rising long-term gilt yields have renewed focus on the UK's debt trajectory and fiscal sustainability. How does the UK's experience connect to wider debates on debt sustainability, and what factors will be most decisive in shaping countries' ability to finance development while managing rising debt?

Rising gilt yields have sharpened the focus on the UK's fiscal trajec-

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tory. Although this is partly a global story – with fiscal concerns pushing borrowing costs higher across advanced economies – investors also see UK-specific vulnerabilities: weak trend growth, sticky inflation and higher-for-longer rates, structural challenges in the debt profile, and the pressure of dual deficits.

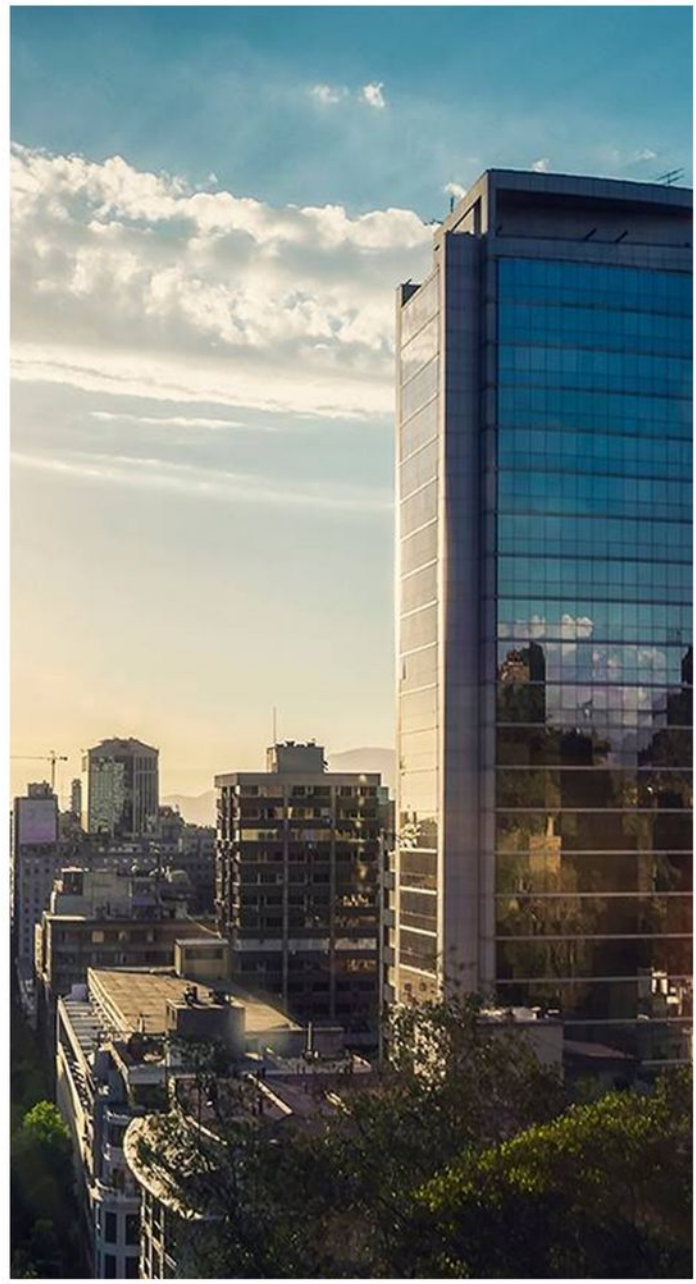
A wider lesson – in the UK and globally – is that sustainability is not just about having a plan, but about having one that is credible and deliverable. Markets have become sceptical of UK plans that are back-loaded or overly reliant on tax increases, and past failures to execute on spending consolidation have deepened that doubt. Ultimately, the decisive factors for regaining credibility will be demonstrating that the UK's fiscal plans are, in the event, delivered as printed. For the UK, addressing structural weaknesses and demonstrating credibility in delivering fiscal plans are essential to managing debt sustainably and that will be key for financing future development.

Finally, for our student readers and young professionals, what advice would you give on building a career in economics and finance – whether in terms of skills to develop, habits to cultivate, or perspectives to keep in mind?

My biggest advice is to embrace curiosity and challenge. At the start of your career, you cannot ask enough questions – and the more you ask, the more you will have. Build versatility: technical skills matter, but so does the ability to communicate clearly and translate complex ideas for different audiences.

Be comfortable with uncertainty, not knowing all the answers, and never assume tomorrow will look like yesterday. Stay alert to structural change and think about how it reshapes economies. And finally, keep perspective. Economics and finance are ultimately about people's lives and livelihoods. Remembering that human dimension will keep your work grounded and meaningful.

We thank Victoria Clarke for taking the time to share her insights with the Nottingham Economic Review.



Regional *Dynamics Of* Development *Finance*

This section highlights how development finance unfolds in regional contexts. From remittance flows in South Asia and green bonds in ASEAN to Mexico's economic ties and MENA's diversification pathways, these pieces illustrate how geography and local dynamics shape the evolution of development finance.

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Tracing the Costly Path of the India–Nepal Remittance Corridor

Ayushi Thakur



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Every month, millions of Nepali workers in India face a similar challenge: sending money home to their families. Whether it's a construction worker in Mumbai supporting elderly parents in rural Chitwan, or a domestic helper in Delhi paying for her children's education in Kathmandu, these workers rely on remittance services that often charge substantial fees for what should be a simple cross-border transfer. Despite Nepal and India sharing a 1,751-kilometre border and deep cultural ties (India–Nepal border, 2024), sending money between these neighbours remains surprisingly expensive and inefficient.

This paradox sits at the heart of one of South Asia's most important economic relationships. Remittances to Nepal represent an extraordinary proportion of the country's economic foundation. In 2023, Nepal received approximately $11 billion in remittances, representing roughly 26.6% of its GDP, making it one of the world's most remittance-dependent economies (International Fund for Agricultural Development, 2024).

To put this in perspective, money transfers from overseas workers contribute more to Nepal's economy than tourism, manufacturing, and foreign aid combined. India serves as one of Nepal's top remittance sources after Gulf countries, with hundreds of thousands of Nepali workers crossing the open border to find employment opportunities (Centre for the Study of Labour and Mobility, 2019).

Remittances: Money That Moves a Nation

Remittances function as an economic lifeline between nations. When a Nepali worker sends money home, the impact extends well beyond one household. These transfers pay for food, education, healthcare, and housing, spurring demand, sustaining local businesses, and generating jobs. For many rural families, they represent their primary source of income, often enabling investment in children's education and breaking cycles of poverty (International Fund for Agricultural Development, 2024).

The scale of this financial flow is staggering. Remittances to Nepal amount to more than twice the country's export earnings and far exceed foreign direct investment. As the International Fund for Agricultural Development observes, "remittances are critical in Nepal," underpinning the economy and dwarfing other foreign inflows (2024). Yet despite their scale (and the geographic proximity of sending countries) the cost of transferring money remains stubbornly high, frequently surpassing the UN Sustainable Development Goal of keeping remittance fees below 3% of transfer value (International Fund for Agricultural Development, 2024).

High Costs of the Lifeline

To understand why remittance costs remain stubbornly high, follow the journey of a single transfer. When Deepak, a Nepali worker in Delhi, tries to send 10,000 Indian rupees to his family in Pokhara, the money doesn't move in a straight line. Instead, it winds through a maze of intermediaries, regulations, and conversion processes with each adding delays and fees.

The first obstacle is banking infrastructure. For decades, many Nepali households, especially in rural areas, lacked access to formal banking. Financial inclusion has improved sharply, from 61% in 2014 to 90% in 2022 (International Fund for Agricultural Development, 2024), but gaps remain. Families without accounts often rely on money transfer operators or informal channels. Chief among these is hundi, an age-old broker system built on trust. While convenient and far-reaching, hundi carries hidden costs: the state loses customs revenue, smuggling thrives, and corruption becomes embedded in the system (Parajuli, 2019). What seems cheaper at first often comes at the expense of transparency and state capacity.

Next comes regulatory complexity. Both the Reserve Bank of India and Nepal Rastra Bank enforce strict compliance rules, requiring banks to collect identity, address, and purpose information for each cross-border transfer (Reserve Bank of India, 2023). These safeguards help prevent money laundering and terror financing but drive up costs, demanding time, technology, and staff. Currency conversion adds yet another margin. Despite the Nepali rupee being pegged to the Indian rupee at 1 INR = 1.6 NPR, operators still charge wide spreads to cover perceived risk. The conversion becomes even more costly when remittances are routed through third currencies such as pounds or dollars. For example, £1 converts to roughly 105 INR, which then translates to about 168 NPR: this means that workers can lose money twice: first in rupees to pounds (or dollars), and again in pounds to Nepali rupees.

> “What should be a simple, affordable transfer of wages too often becomes an expensive process, chipping away at the very lifeline families depend on.”

Perhaps most significantly, limited competition among service providers keeps prices artificially high. The India–Nepal remittance corridor is dominated by a handful of banks and operators, including State Bank of India and Nepal SBI. Licensing barriers keep rivals out, allowing incumbents to hold fees up. In 2023, the average cost of sending $200 to Nepal was 3.7% – still above the UN target of 3%. Many remitters, once hidden margins and fees are included, report paying between 5% and 8% (International Fund for Agricultural Development, 2024).

The result of this cumbersome process for a single transaction has stark consequences: what should be a simple, affordable transfer of hard-earned wages too often becomes an expensive process, chipping away at the very lifeline families depend on.

Nepal's Politics Matter for Workers Abroad

Nepal's political developments add a critical layer to the remittance story. Years of political upheaval and frequent changes in government have directly shaped economic policy and regulatory approaches. Although progress has been made in curbing corruption – a persistent

challenge that long complicated financial services – building strong institutions remains unfinished business.

For decades, corruption in Nepal's financial sector inflated the cost of money transfers. As the Human Rights Foundation observes, "corruption is endemic in Nepal and often goes unpunished," creating a system where approvals required unofficial payments and licensing lacked transparency (Human Rights Foundation, n.d.). These hidden costs inevitably fell on consumers through higher remittance fees. Recent anti-corruption drives and governance reforms have eased some of these burdens, but the political landscape remains fluid.

Politics also shapes cross-border cooperation. Financial integration between India and Nepal depends on sustained political will from both sides, with regulators working to harmonise rules and create interoperable systems. When political tensions flare or governments change, these collaborative efforts stall, leaving technical fixes without the policy support needed to succeed.

Can UPI Break the Cost Barrier?

The most promising development in reducing remittance costs lies in digital payment integration between India and Nepal. India's relativelt new Unified Payments Interface (UPI) has already transformed domestic payments, enabling instant, low-cost transfers via mobile apps. By mid-2024, UPI was already handling more than 14 billion transactions per month (European Payments Council, 2024).

A breakthrough came in March 2024, when India's payments authority NPCI partnered with Nepal's Fonepay to enable cross-border UPI transactions (National Payments Corporation of India, 2024). For now, the service allows Indian customers to pay Nepali merchants through QR codes, with over 100,000 UPI payments being made in Nepal within the first few months (ETBFSI, 2024).

The significance extends beyond convenience. UPI transactions are virtually fee-free, suggesting that if the system were expanded to cross-border remittances, it could slash costs dramatically. But regulation has yet to catch up with technology. Under the Indo-Nepal Remittance Facility, the Reserve Bank of India caps transactions at 200,000 INR for account holders, while non-customers are limited to 50,000 INR per transfer, up to 12 times a year (Reserve Bank of India, 2023).

Conclusion

The future of India–Nepal remittances hinges on balancing innovation with regulation. UPI already shows promise, with banks charging only 5-20 INR per cross-border transaction – a fraction of traditional fees (Reserve Bank of India, 2023). The challenge, however, is whether political will and regulatory frameworks can keep pace, ensuring workers can send money home quickly, safely, and cheaply.

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The Southbound Flow Shaping Mexico's Economy

Deyab Syed

The global landscape of development finance is shifting. Traditional donor-driven aid has plateaued, while alternative flows of capital have gained importance. Among these, remittances from migrants stand out as both resilient and transformative. In 2023, Mexico received more than 66 billion dollars in remittances, largely from the United States, surpassing foreign direct investment and aid (Ratha, 2024). These flows are a vital source of external finance for stability, poverty reduction, and inclusion. The U.S.-Mexico corridor, the largest in the world, exemplifies how remittances are transforming the financial landscape of development. Understanding their scale and function is critical for rethinking development finance in the Global South.

The Scale of Remittances as Capital Flows

In 2023, remittances to low- and middle-income countries reached 656 billion dollars, compared with about 259 billion dollars in aid (Ratha, 2024; OECD, 2025). Unlike aid, remittances arrive directly to households. Nowhere is this scale more visible than in North America's link with Latin America. Mexico received approximately 63.3 billion U.S. dollars in remittances in 2023, a record high and Mexico's largest source of foreign income (Associated Press, 2024). These inflows compare with foreign direct investment, which totaled about 39.1 billion U.S. dollars in 2022, underscoring the relative weight of remittances in Mexico's external accounts (Macrotrends, 2024). Remittances are a stable flow of private capital that strengthens household income, reserves, and national accounts. Compared to aid and volatile investment flows, remittances deliver financial resilience.

Countercyclical and Stable Flows

Remittances tend to act as a stabilizer during economic downturns. Unlike foreign direct investment, which often contracts sharply when markets sour, remittances show resilience. The IMF notes that migrants often maintain or even increase transfers when their home countries suffer shocks, such as natural disasters or political turmoil (Ratha, 2019).

During the COVID-19 pandemic, analysts expected remittances to drop dramatically. Instead, remittances to Mexico reached historic highs: in 2022, they rose to US$58.5 billion, despite inflation and high interest rates (Rodríguez-Sánchez, 2023). These levels surpassed expectations because many migrants in the U.S. continued to remit funds even under difficult economic conditions. During the 2008 financial crisis, Mexico's remittances fell about 14% (De la Fuente-Akersveen, 2024). The drop was temporary, while investment flows suffered longer and sharper declines. By supply-

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ing foreign currency and consumption support, remittances smooth current account balances and reduce volatility in exchange rates, imports, and debt service.

Financial Uses of Remittances at Household and National Levels

Remittances function as more than private transfers between family members. At the household level, they finance education, healthcare, housing, and small businesses. A World Bank study found that remittance receiving households in Latin America spend about 10% more on education and healthcare (Plaza, 2023). The financial role of remittances goes beyond consumption. The Inter-American Development Bank (IDB) finds that remittances enhance the creditworthiness of recipient households by providing stable income streams, enabling them to access formal credit and financial services more easily (Vlaicu, 2023). This dynamic deepens financial inclusion, especially in rural areas.

At the national level, remittances act as a significant external financial resource. In Mexico, they accounted for about 4% of GDP in 2022, strengthening the country's current account and foreign reserves (Rodríguez-Sánchez, 2023). By providing a steady inflow of foreign currency, remittances help stabilize exchange rates and reduce reliance on more volatile capital flows, such as portfolio investments. These features make remittances indispensable to development finance.

Barriers to Maximizing Financial Impact

However, despite their scale and resilience, remittances face barriers that limit their broader financial contribution. The first challenge is transaction costs. According to the World Bank, the global average cost of sending remittances in 2023 was about 6.4%, well above the United Nations Sustainable Development Goal of 3 percent (Plaza, 2023). These costs reduce household inflows and weaken the developmental impact of remittances.

A second challenge lies in financial intermediation. Many remittances are received in cash and used immediately for consumption, which limits the extent to which they can be transformed into savings, credit, or investment. The Inter-American Development Bank has noted that recipients with limited access to formal banking often cannot leverage these stable inflows to build assets or expand small enterprises (Vlaicu, 2023). These constraints underscore the need to improve remittance channels so that more value supports long-term development rather than short-term spending.

Unlocking Remittances For Development Finance

Transforming remittances from household transfers into broader sources of development finance requires financial innovation. One pathway is linking remittances to formal savings and credit systems. Studies from the Inter-American Development Bank show that recipients who deposit remittances into bank accounts are more likely to access credit, invest in small businesses, and accumulate assets (Vlaicu, 2023). Expanding financial literacy programs and incentivizing account-based transfers can amplify these effects.

> “Remittances enhance the creditworthiness of recipient households by providing stable income streams, enabling them to access formal credit and financial services more easily”

Another approach is the creation of diaspora bonds, which channel the collective savings of migrant communities into national development projects. Countries such as India and Israel have successfully issued these instruments, raising billions of dollars from expatriates. Mexico and other Latin American economies could adapt similar models, leveraging the strong financial ties between migrants and their home regions (Ketkar & Ratha, 2010).

Finally, multilateral institutions have a role to play in mobilizing remittance-backed finance. The World Bank has highlighted the potential of securitizing remittance flows, which allows governments and banks to borrow at lower rates by pledging future remittance receipts as collateral (Plaza, 2023). These mechanisms would not replace household benefits but could multiply impact by turning private transfers into investment capital.

Conclusion

The era of donor-dominated development finance is giving way to more diverse and resilient capital flows. Among these, remittances stand out as a cornerstone of the economy. In the U.S.–Mexico corridor alone, they provide tens of billions of dollars each year, a scale that rivals or surpasses traditional sources such as foreign direct investment and aid. Their resilience in times of crisis and their ability to support household welfare, financial inclusion, and national balance sheets underscore their significance as more than private transfers.

Unlocking the full financial potential of remittances requires deliberate innovation. Policies that link remittances to savings, credit, and investment can magnify their long-term impact. Instruments such as diaspora bonds and remittance-backed securities also point to ways of channeling private flows into collective development projects.

Remittances will not resolve every challenge, but they have reshaped the global financial landscape. For North America, especially in the U.S.–Mexico corridor, they represent both a lifeline for families and a critical foundation for national development strategies. Recognizing remittances as an instrument of development finance in its own right is essential to rethinking how the Global South finances its future.

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Financing Resilience: The Rise of Green Bonds Across ASEAN

Vivian Wing Yan To

As the Indo-Pacific faces the dual challenge of financing rapid development while confronting mounting climate risks, green finance is becoming a key feature of its capital markets. Once unimportant, it now mobilises capital for sustainability, while simultaneously reshaping how institutions fund infrastructure. With ASEAN countries often exposed to climate risks, such as rising sea levels, floods, and sudden weather events, green bonds are an opportunity for long-term resilience. This article examines the region's evolving financial landscape, with a focus on the ASEAN Green Bond Standards and the pioneering role of states such as Indonesia and Singapore in positioning themselves as green finance hubs.

Building Regional Credibility

Regional frameworks are crucial for building investor confidence. Therefore, the ASEAN Green Bond Standards, introduced by the ASEAN Capital Markets Forum, has been adapted from international benchmarks and is aligned with the International Capital Market Association's (ICMA) Green Bond Principles. This requires issuers to clearly define eligible projects, specify the use of proceeds, and report outcomes with transparency. Complementing this, the ASEAN Taxonomy for Sustainable Finance provides a broader guide to support the region's transition toward sustainability. Together, these frameworks harmonise expectations across diverse economies, reducing uncertainty for investors and lowering barriers to cross-border issuance.

Indonesia's Green Sukuk Model

The impact of these frameworks is particularly visible in Indonesia, which has emerged as a regional leader in sovereign sustainable finance. Since 2018, the government has issued green sukuk (Islamic-compliant bonds) that appeal to both domestic investors and global ESG funds. By 2023, cumulative issuance had reached US$9.6 billion across global dollar bonds and Indonesian Rupiah offerings. Although the framework highlights renewable energy and efficiency as priorities, in practice most proceeds have been channeled into water management, flood control, and railway systems, reflecting urgent national needs.

By early 2025, Indonesia's sustainable bond stock had reached US$14.4 billion, with green bonds comprising nearly 75%. This sovereign leadership has created benchmarks for private issuers, bringing in additional capital and gradually lowering the proverbial green premium investors are willing to pay for verified sustainable assets. The role of the Indonesia Investment Authority (INA), one of the country's two sovereign wealth funds, has been increasingly central here. It co-invests in infrastructure and renewable projects

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alongside green sukuk proceeds, providing equity buffers that reduce perceived risk for private investors and improve debt sustainability by limiting reliance on external borrowing. This blended-finance approach not only anchors investor confidence but also signals long-term policy commitment, a critical factor in pricing sovereign risk.

However, the relatively modest allocation of sukuk proceeds toward clean energy raises questions on whether capital mobilisation is being fully optimised for Indonesia's decarbonisation ambitions. Greater coordination between sukuk issuance and INA's portfolio strategy could help reorient funds toward renewable power, and target sectors at the forefront of the energy transition infrastructure. Without this alignment, there is a danger that green sukuk remains focused on fiscal resilience and short-term infrastructure needs, rather than driving the structural shift Indonesia requires to meet its climate commitments and secure sustainable growth.

Singapore's Market Depth

Where Indonesia leverages sovereign issuance and its SWF to mobilise capital, Singapore has positioned itself as the region's green finance hub by embedding sustainability into its broader financial architecture. In January 2025, the Ministry of Finance updated its Green Bond Framework to align with ICMA principles, ASEAN Green Bond Standards, and the Singapore-Asia Taxonomy. This legal foundation not only underpins sovereign issuance but also sets clear guidelines for statutory boards and public agencies, ensuring consistency across markets. PUB, the national water agency, has already used its framework to raise capital for sustainable water systems, signalling how public infrastructure can be financed within these rules.

> "By providing clear regulatory signals and taxonomies, the state reduces information asymmetries for investors and lowers the cost of capital for issuers"

Singapore's strategy has also integrated green finance into the competitiveness of its capital markets. By providing clear regulatory signals and taxonomies, the state reduces information asymmetries for investors and lowers the cost of capital for issuers. In 2023, Singapore accounted for nearly half of ASEAN's total green, social, and sustainability (GSS) bond issuance, with volumes exceeding US$12 billion. Its Green Bond Programme sets an ambitious target of up to S$35 billion (US$25 billion) in sovereign and statutory board issuance by 2030, establishing long-term benchmarks for the private sector.

This scale matters for foreign investors, who typically attach a higher risk premium to green assets in emerging markets due to concerns about liquidity and regulatory enforcement. Singapore's framework mitigates these risks by enforcing rigorous disclosure requirements and offering transparent reporting mechanisms, thereby compressing spreads and lowering the risk premium.

Innovation is equally central to Singapore's approach. The National University of Singapore (NUS), working with Northern Trust and the United Overseas Bank (UOB), recently piloted tokenised reporting for green bonds, using blockchain to improve transparency in ESG disclosures. If scaled, this could reduce verification costs, enhance traceability of proceeds, and make Singaporean bonds

more attractive to global asset managers seeking credible ESG instruments. These initiatives illustrate how Singapore is combining finance, technology, and regulation to secure its place as a global hub for green capital and to intermediate flows into the wider ASEAN region.

Regional Acceleration and Obstacles Ahead

According to the OECD's Asia Capital Markets Report 2025, sustainable bond issuance in Asia rose sharply in 2024, with green bonds dominating both sovereign and corporate segments. Consequently, momentum is spreading beyond early movers like Indonesia and Singapore: Malaysia and Thailand have been refining their national taxonomies to align with global standards, while the Philippines is actively preparing for sovereign issuance. Although the maturity of markets varies widely, the Institute for Energy Economics and Financial Analysis suggests that ASEAN could emerge as one of the world's most dynamic green finance regions, provided regulatory consistency is maintained and investor confidence is strengthened.

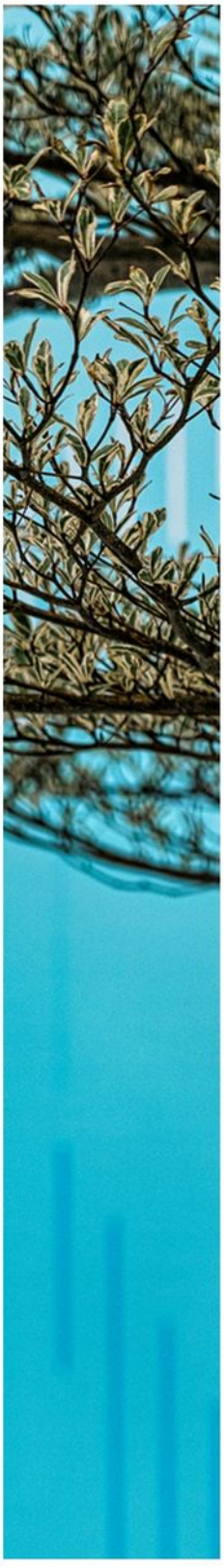
Yet regional acceleration faces significant headwinds. Greenwashing remains a major concern, as investors call for more rigorous external reviews and clearer verification of environmental outcomes. The credibility test lies in whether proceeds genuinely support low-carbon transitions or simply repackage conventional infrastructure under a green label. Structural constraints compound these risks: longer-dated bonds expose issuers to interest rate and currency volatility, a particular challenge for emerging markets with less stable macroeconomic conditions. Smaller ASEAN economies also confront institutional limits in monitoring and enforcement, raising the risk of uneven implementation and fragmentation across the region's sustainable finance landscape.

Conclusion

Crucially, however, the rise of green bonds in Southeast Asia signals a fundamental shift in how the region finances growth and resilience. Indonesia's sovereign green sukuk demonstrates how Islamic finance can be scaled to mobilise resources for climate adaptation and infrastructure, while Singapore's market depth reinforces its role as the region's green finance hub. At the regional level, ASEAN standards provide much-needed credibility and harmonisation, helping attract global ESG capital in a diverse set of markets.

In the long run, however, the success of this transition will hinge on three fundamentals: aligning national taxonomies with regional frameworks, directing proceeds toward genuinely high-impact climate and energy projects, and sustaining investor confidence through transparency and predictable regulation. If these conditions are met, green bonds could bridge a substantial share of the Indo-Pacific's climate finance gap, crowding in private investors and mitigating climate vulnerabilities that threaten long-term growth.

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New Pathways for Development Finance in the MENA Region

Maahin Sadiq

The economies of the Middle East and North Africa (MENA) have long been shaped by oil revenues and international trade. Yet, amid global uncertainties – ranging from pandemics and shifting alliances to regional conflicts and mounting climate pressures – leaders across the region are accelerating efforts to diversify beyond hydrocarbons. This article examines how MENA states, particularly in the Gulf, are deploying sovereign wealth funds, long-term national visions, and green investment strategies to reconfigure their development finance models.

Transforming Development Finance in MENA

MENA's economic trajectory has long been defined by its vast energy reserves. Revenues from oil and gas exports not only shaped trade balances and fiscal policy but also underpinned expansive welfare systems and rapid urban development. Yet this dependence has left the region highly exposed to global price swings and constrained the expansion of more diverse industries. Today, with the accelerating impacts of climate change, the global shift away from fossil fuels, and the waning geopolitical leverage of oil (Freshfields, 2025; Zlatar, 2025), the imperative for economic transformation has become increasingly urgent.

Faced with these vulnerabilities, MENA governments have set ambitious goals to reshape their financial landscapes, recognizing the urgency of moving beyond oil dependence. Key initiatives include fostering private-sector growth, strengthening regulatory frameworks, and expanding investment linkages with Asia, Africa, and Europe. In Saudi Arabia and the UAE, non-oil sectors now contribute more than half of GDP, while countries such as Egypt and Morocco are rapidly scaling their renewable energy and technology industries (Freshfields, 2025; Zlatar, 2025).

At the heart of this transformation are regional sovereign wealth funds (SWFs), which have expanded rapidly to become powerful drivers of change. Managing nearly $4 trillion in assets, funds such as Saudi Arabia's Public Investment Fund (PIF), the UAE's Mubadala, ADQ, and Abu Dhabi Investment Authority (ADIA), along with the Qatar Investment Authority (QIA), are increasingly channeling capital into forward-looking and high-impact sectors (Ashurst, 2025; Calabrese, 2023; LCD Media, 2025).

Originally established to safeguard wealth for future generations, MENA's SWFs (from 2016 onwards) have broadened their mandates dramatically. Today, they spearhead regional diversification by channeling capital into clean energy, digital finance, healthcare innovation, artificial intelligence, and advanced infrastructure. In 2024, for example, Mubadala invested nearly $29

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billion across multiple transactions – a 67% increase from the previous year. The PIF, meanwhile, has prioritized domestic development through flagship projects such as NEOM, a futuristic city designed to run entirely on renewable energy, while also advancing Saudi Arabia's broader green energy agenda (Ashurst, 2025; ICG, 2025; LCD Media, 2025).

These funds also serve as engines of innovation, channeling capital into tech startups, infrastructure, and cross-border ventures. Mubadala, ADQ, and the PIF, for example, have backed fintech firms such as Tabby and Tamara, driving the rise of digital payment solutions in the region.

In the UAE, sovereign funds are also aligning with national initiatives like K2 Think, a 32-billion-parameter open-source AI model developed by MBZUAI and G42. Designed to deliver high reasoning capacity at a fraction of the cost of larger models, K2 Think underscores how MENA states are leveraging sovereign capital to position themselves at the forefront of AI and digital transformation. By bridging public and private initiatives, SWFs are becoming pivotal actors in development finance and are helping to chart a more sustainable economic future for the region (Ashurst, 2025; Calabrese, 2023; PwC, 2025).

Saudi Vision 2030: A Case Study in Transformation

Building on the role of sovereign wealth funds in driving innovation, Saudi Arabia's Vision 2030 stands as a flagship example of the region's determination to move beyond oil dependency. The strategy sets ambitious diversification targets, including generating 50% of the Kingdom's energy mix from renewables by 2030 and attracting up to $150 billion in related investments.

> By bridging public and private initiatives, SWFs are becoming pivotal actors in development finance and are helping to chart a more sustainable economic future for the region

Central to this effort is the Saudi Green Initiative (SGI), which unites government and private-sector actors in pursuit of net zero by 2060, while also enhancing quality of life, tackling climate change, and safeguarding natural resources for future generations. To date, 77 initiatives have been launched under the SGI, backed by more than $186 billion in investment to cut emissions, expand afforestation, and protect land and marine ecosystems (ICG, 2025; Saudi Green Initiative, 2024; ScienceDirect, 2025; Vision 2030, 2024).

Flagship projects such as NEOM City, the Al Shuaibah solar facility, and partnerships with ACWA Power highlight the Kingdom's push into renewables, circular energy, and sustainable technologies. Crucially, these ventures are underpinned by innovative financing instruments such as green bonds and ESG-linked tools that tie capital flows directly to environmental outcomes. In this way, development finance becomes the bridge between Saudi Arabia's climate ambitions and its broader strategy for long-term economic growth (Ahmad, 2025; ICG, 2025; PwC, 2025; Vision 2030, 2024).

Diversification Across the MENA

Other MENA countries have also taken inspiration from this shift. The UAE, for example, has set a target of 50% clean energy by 2050, anchored by the Mohammed bin Rashid Al Maktoum Solar Park. Egypt aims for renewables to supply 42% of its energy

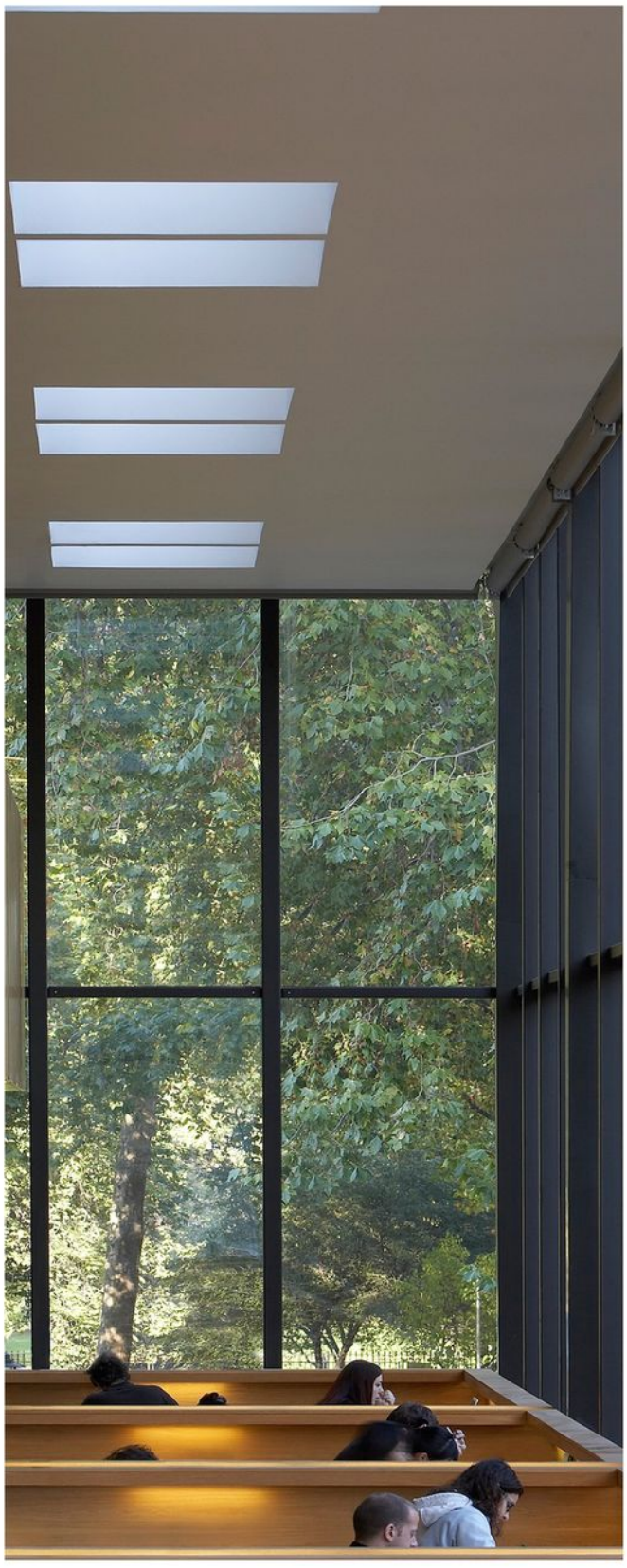
mix by 2030, while Morocco's Noor Ouarzazate Solar Complex and nationwide hydrogen initiatives underscore North Africa's embrace of green finance as a tool for sustainable transformation. (Diplomatic Academy of Geneva, 2023; Freshfields, 2025; PwC, 2025).

Therefore, MENA's emerging development finance model is increasingly geared toward channeling resources into sectors that foster resilience, sustainability, and technological innovation. SWFs play a pivotal role as both investors and market facilitators, attracting private capital and supporting projects that improve outdated systems. Regulatory reforms and the rise of private equity hubs such as the DIFC and ADGM are creating innovative fund structures that draw international investment while encouraging collaboration with local partners (Zlatar, 2025).

Conclusion

MENA stands at a pivotal juncture, with governments charting a course toward diversified and sustainable prosperity. The region's expanding portfolio of green initiatives demonstrate the transformative potential of aligning development finance with long-term national strategies. . Through the effective mobilization of wealth, innovation, and investment in green projects, the region is crafting development finance that moves beyond oil, and fosters strong growth for future generations

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Global *Development* Practices

This section examines the practices shaping development finance across diverse contexts. From Africa's struggle with credit assessments to Egypt's mega-project ambitions, South Asia's financial vulnerabilities, and MENA's debt dynamics, these case studies reveal how development finance is being exercised in practice.

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The Role of Credit Assessments in Africa's Access to Finance

Caleigh Plaatjes

Credit ratings function as decisive gatekeepers that fundamentally determine Sub-Saharan African countries' access to development financing. These ratings not only influence direct capital market access but also shape multilateral organizations' and donor countries' funding allocation decisions, creating a cascading web of financial constraints. Against the backdrop of the region's massive infrastructure financing gap - estimated at USD 130-170 billion annually - the systematic disadvantages imposed by current rating methodologies represent a critical barrier to economic transformation.

SSA countries face billions of dollars in excess borrowing costs while being excluded from essential capital markets precisely when foreign investment and private-sector participation are most urgently needed. Consequently, this report looks at Western credit ratings in relation to SSA countries' development prospects and highlights the urgent need for fundamental reform in international rating practices.

The Function of Credit Ratings

Credit rating agencies (CRAs) are institutions that evaluate the creditworthiness of issuers of debt – including sovereign countries, municipalities, and corporations – and assign ratings that signal the risk of default (Aninver Development, 2025). The main agencies, often called the "Big Three, are Standard & Poor's (S&P), Moody's Investors Service, and Fitch Ratings. These agencies utilise letter-grade scales (such as AAA, BBB, or B, etc.) to indicate the relative risk of a borrower. Higher ratings (e.g. investment-grade ratings of BBB-/Baa3 or above) suggest lower default risk, whereas lower ratings (speculative-grade or "junk" ratings) indicate higher risk. These agencies function similarly in Africa to anywhere else - periodically assessing and adjusting their ratings based on economic indicators, governance metrics, and institutional capacity.

Investors – whether foreign or domestic – rely heavily on these ratings. A higher credit rating can instill confidence and trust, while a low or downgraded rating can deter investment or raise the cost of financing (Aninver Development, 2025). Foreign Direct Investment (FDI) is particularly sensitive to credit ratings, given a country's perceived risk and stability (Aninver Development, 2025). Thus, countries with lower ratings often struggle to attract sufficient diverse foreign investment for their resource projects.

For instance, Botswana (rated A-/A2) attracts above-average FDI (~3–4 percent of its GDP) due to its reputation for good governance and low risk. Conversely, larger economies with lower ratings like Nigeria (rated B-/B3 in 2023) see lower FDI in-

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flows (around 0.5 percent of GDP in 2023), as foreign investors remain hesitant about macroeconomic and political risks (Aninver Development, 2025). Credit ratings can amplify these pressures by raising the cost of servicing debt, leaving governments with difficult trade-offs between repayment and domestic investment. Such outcomes may arise not only from potential bias, but also from limitations in available data and the inherent subjectivity of rating methodologies.

Within the African context, the use of credit ratings expanded significantly in the 2000s and 2010s as many countries sought to tap global capital markets. In 1994, South Africa was the only country to have a sovereign credit rating but as of 2023, 33 African countries have at least one credit rating from the Big Three agencies.

Sovereign ratings vary across the spectrum in the African context, but most are in speculative-grade categories. Botswana and Mauritius serve as the only two countries with investment-grade ratings, reflecting the continent's scarcity of these forms of ratings. This is largely indicative of the continent's political and economic vulnerabilities. Economically, several African countries suffer with unsustainable levels of debt, an overdependence on commodity exports and an inflexibility to curb imports when foreign currency earnings decline (UNDP, 2025).

In the political realm, increased levels of corruption, a lack of transparency and the proliferation of coups amongst several African nations have contributed to an overall decline in governance and investor confidence (UNDP, 2025).

Given these vulnerabilities, the continent's heavy reliance on external credit ratings has become a source of increasing concern. In response to the influence of the Western-dominated "Big Three," African nations are beginning to develop their own strategies to mitigate the impact of negative assessments. States are becoming increasingly outspoken regarding their ratings, calling for greater reform in this area.

Ghana, which in 2022 had its ratings downgraded by Moody's, pushed back against the move highlighting the agency's failure to account for key indicators in its assessment. As a result, African countries are pushing to create homegrown solutions. Most notable is the establishment of the African Credit Ratings Agency (AfCRA) under the African Union (AU), which is expected to begin operations in September 2025 (APRM, 2024).

With more than 70% of credit ratings on the continent issued by non-African entities, AfCRA seeks to rebalance the system by providing independent, Africa-focused assessments designed to improve investment flows, lower borrowing costs, and strengthen economic resilience (APRM, 2024). Complementing this initiative, several countries are also building domestic ratings capacity. South Africa's Sovereign Africa Ratings, for example, is a smaller CRA that draws on local expertise to deliver context-specific evaluations of African economic performance.

Conclusion

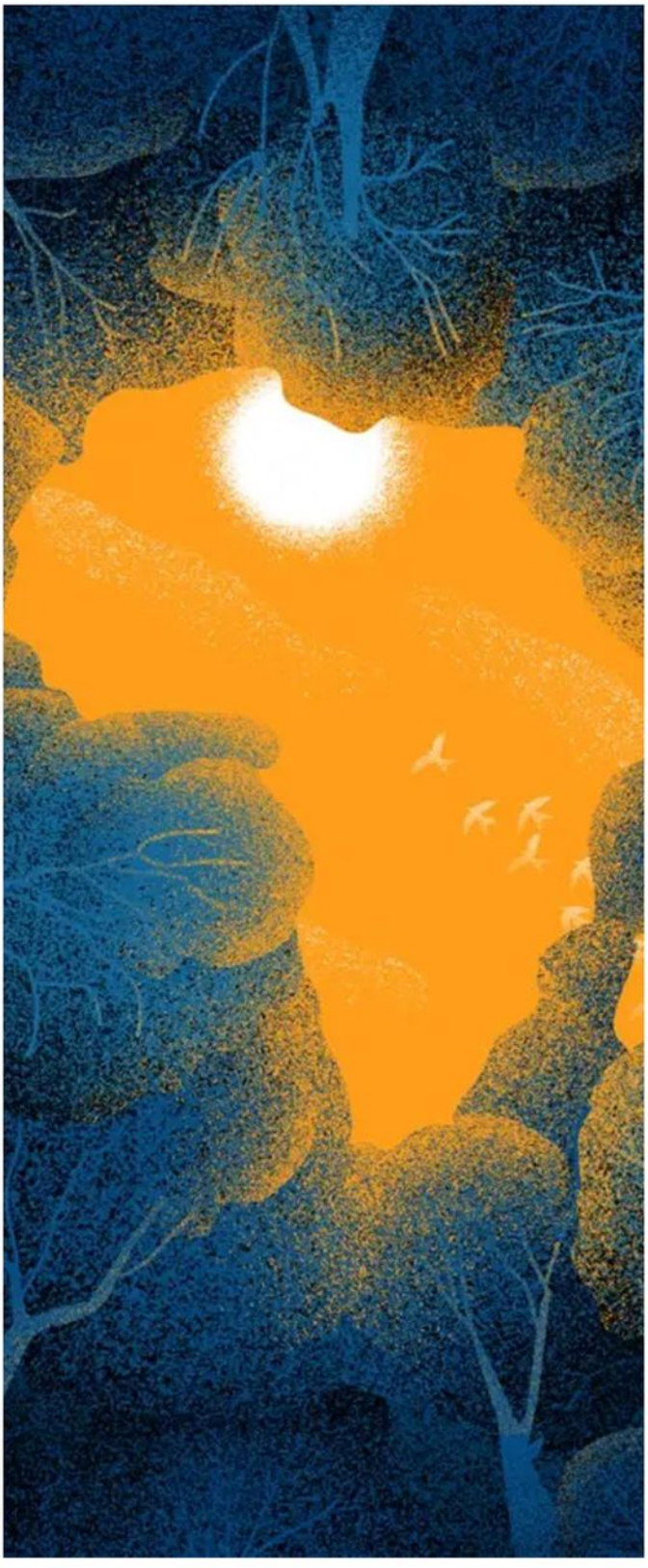
The treatment of Sub-Saharan African countries by global credit rating agencies has significant

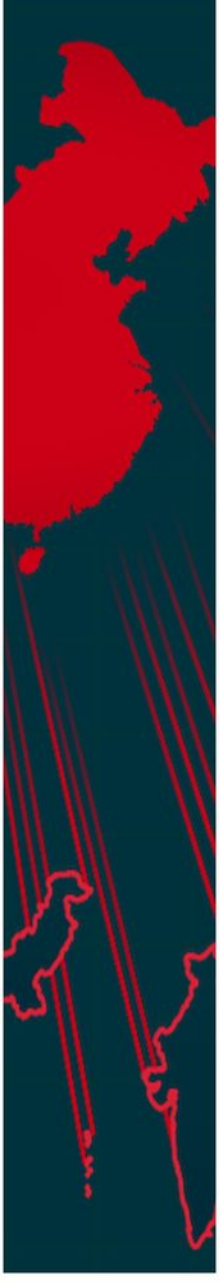
> More than 70% of credit ratings on the African continent are issued by non African entities

implications beyond technical assessments, often constraining access to finance. The concentration of influence among the "Big Three" agencies has contributed to a cycle in which speculative-grade ratings limit investment flows, thereby constraining growth and reinforcing the initial low assessments. Only two African countries currently maintain investment-grade status, reflecting both economic vulnerabilities and methodological limitations in how African economies are evaluated.

In this context, the emergence of AfCRA – set to launch in September 2025 – reflects a growing effort to complement global ratings with Africa-focused perspectives. But progress will depend on two fronts: the development of credible, independent rating institutions within the continent, and ongoing reforms to enhance transparency and methodology among established international agencies. Together, these measures could reduce borrowing costs, broaden access to capital markets, and strengthen economic resilience across Sub-Saharan Africa.

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Uncertain Flows: South Asia's Development Finance Entrapment

Talha Ali Madni

In July 2025, President Trump officially shut down the world's largest aid organization – the United States Agency for International Development (USAID). Once a hallmark of American soft power abroad and a pioneer of international development, USAID has laid off thousands of employees in an unceremonious manner, under populist pressure and rightsizing rhetoric. However, the dissolution of USAID was not a one-off incident. A reconsideration of international development has long been underway across the Organization for Economic Cooperation and Development (OECD) countries.

For example, both Germany and the UK reduced their commitments in order to free up fiscal space for military expenditures. At the same time, experts remain divided on the effectiveness of development assistance in improving governance, alleviating poverty, and boosting economic productivity. Against this backdrop, debate has intensified over the consequences of reduced Western engagement in the global development industry, and how China might seek to capitalize on the resulting void.

The South Asia region, which has historically been a major recipient of official development assistance, is particularly exposed to these shifts. This article examines the evolution of development assistance, the decline of traditional ODA in South Asia, and the implications of China's growing financial role in the region.

The Emergence of Development Assistance

The origins of foreign aid can be traced back to 1812, when the US Congress passed the Act for the Relief of the Citizens of Venezuela (Hjertholm & White, 1998). However, the institutionalisation of aid and development assistance is more directly associated with the establishment of the Bretton Woods institutions and the Marshall Plan in the 1940s, which were designed to support Europe's reconstruction after the Second World War.

The standard measure in the global aid system is Official Development Assistance (ODA) – government-to-government aid aimed at fostering economic development in recipient countries (OECD). ODA was formalised by the OECD in the 1960s to provide a consistent benchmark for measuring donor efforts, thereby making flows more transparent and comparable (Hynes & Scott, 2013). Importantly, development assistance has never been limited to OECD members alone. Other states and multilateral institutions have also played significant roles in supporting developing economies which tracks foreign aid flows since 1960.

While these global milestones established the framework for modern aid, their influence has been particularly pronounced in

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South Asia, a region historically dependent on external financing.

The History of ODA in South Asia

South Asia, home to 33.4% of the world's extreme poor (Islam et al., 2021), is one of the largest recipients of global aid after Sub-Saharan Africa. Aid-funded initiatives have played a pivotal role in supporting development across the region. For example, the World Bank's Rural Electrification and Renewable Energy Development (RERED) programme in Bangladesh provided clean energy and electricity to 20 million people (Bangladesh Solar Home Systems Provide Clean Energy for 20 million People).

Similarly, Japanese assistance has been instrumental in financing Delhi's metro expansion, while Britain's support for Pakistan's Benazir Income Support Programme has helped strengthen the country's social safety net. Yet, despite these successes, the sustainability of aid flows is increasingly in question, as donor countries confront domestic fiscal pressures and heightened skepticism over the long-term effectiveness of ODA.

Declining Aid from OECD Countries

Amid slowing growth and years of high fiscal deficits, many developed economies are showing signs of fatigue in sustaining Official Development Assistance (ODA). Politicians increasingly face domestic criticism over directing taxpayer money abroad while economic challenges persist at home. As a result, several countries have either rolled back their ODA programmes or reduced commitments relative to Gross National Income (GNI). In July 2025, for example, the UK cut its foreign aid to 0.3% of GNI from 0.5% – already below the UN-recommended 0.7% benchmark (Landale & Graham). Looking ahead, the OECD projects an additional 9–17% decline in ODA for 2025, following a 9% drop in 2024 (Cuts in official development assistance: OECD projections for 2025 and the near term, 2025).

> Amid slowing growth and years of high fiscal deficits, many developed economies are showing signs of fatigue in sustaining ODA

These developments have prompted debate about the future of the aid industry. Some scholars frame the trend as signalling the "end of development" (Tooze) or critique the sector as an "aid-industrial complex" (Engel, 2021), while others view it as the beginning of a new phase in global development (Neiswander, 2025). Amid calls for wide-ranging reform, concern is mounting that Western retrenchment has created opportunities for Beijing, which may use its growing influence to shape development priorities in ways that challenge the interests of the US and its allies.

In this shifting landscape, China has emerged as the most prominent alternative financier, with an approach to development and finance in South Asia that diverges markedly from traditional ODA.

China's Finance in South Asia

China, the world's second-largest economy, has become the largest lender to developing nations (Horn et al., 2021). By 2023, these countries collectively owed Beijing between $1.1 trillion and $1.5 trillion (Hawkins). Much of this lending is opaque, with loan agreements often shielded from public scrutiny (Gelpern et al., 2021). This lack of transparency

has fueled Western accusations of "debt-trap diplomacy" – the idea that China deliberately lends to distressed economies in order to seize strategic assets, with Sri Lanka's 2017 handover of Hambantota Port frequently cited as evidence (Hillman, 2018). Yet, recent research finds little support for this interpretation, showing no systematic intent to entrap borrowers (Moses et al., 2023).

For governments unable to raise sufficient domestic financing or reluctant to comply with the conditionalities tied to ODA, Chinese credit offers an alternative. Much of this lending is concentrated in fragile, conflict-affected states, but South Asian economies have also become major recipients. Under the Belt and Road Initiative (BRI), Beijing has invested heavily in Pakistan, Bangladesh, and Afghanistan. Pakistan's $60 billion China-Pakistan Economic Corridor (CPEC) aims to connect Xinjiang with the deep-sea port of Gwadar, while Bangladesh has secured billions for industrial economic zones.

It is essential, however, to distinguish between China's development aid and its BRI lending. Conflating the two risks exaggerating Beijing's role as an aid provider. Although loans dominate China's development finance portfolio, its actual aid contribution is modest – between $5 billion and $8 billion annually (Sun; Tooze). Chinese aid, which once peaked at 5.88% of GDP in the 1970s, now accounts for just 0.04% (Tooze). Reflecting this limited scope, Beijing itself avoids the term "aid," preferring the term "South-South cooperation."

Evidence therefore suggests that China is still far from replacing Western donors as a leading global aid provider, whether in South Asia or elsewhere. Neither the Chinese Communist Party nor the Chinese public appears inclined to assume such a role. Consequently, in the short term, the withdrawal of USAID and other traditional partners is likely to leave a substantial gap in the development finance landscape (Tugendhat & Palmer).

Conclusion

The trajectory of development assistance is entering a pivotal phase. The retrenchment of Western donors – illustrated by the closure of USAID offices and declining OECD commitments – reflects not only fiscal constraints but also broader doubts about the effectiveness of aid. China has sought to expand its role through large-scale financing, yet its focus on loans rather than grants, and its framing of engagement as "South-South cooperation," limits its ability to replicate the function once performed by OECD donors.

For South Asia, this transition brings both uncertainty and opportunity, highlighting the importance of diversifying partnerships, strengthening governance, and reducing structural dependence on external flows. In the near term, however, the gap left by traditional partners is unlikely to be fully bridged.

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El-Sisi's Mega-City: Egypt's Capital at Breaking Point

Kaylan Pall

Since 2015, Egypt has embarked on its biggest infrastructure project since the construction of the Suez Canal. The New Administrate Capital project (NAC) is a plan to relocate the nation's capital 30 miles away from its current location in Cairo to a 950km² desert zone (Carrera Espriu, 2025). As with any major infrastructure project, the list of questions surrounding its funding model grows longer as the project nears completion. With official estimates pointing to a figure of $58 billion, critics argue the real cost is likely to be far higher (Carrera Espriu, 2025).

The central driving factor of the project rests with Cairo's severe overcrowding. With 22 million people living in the city, equating to 50,000 inhabitants per square mile, it is one of the most densely populated urban centres in the world (Menshawy, 2021). Alongside bustling markets and clustered apartments, Government ministries, embassies and the national assembly all line the streets surrounding the famous El Tahrir Square (Menshawy, 2021).

In such a densely packed environment, where the levers of state authority are concentrated in one area, questions of security become especially acute. This vulnerability was made visible in 2011, when El Tahrir Square became the epicentre of mass protest during the Arab Spring – an uprising that unseated Egypt's first democratically elected leader and ultimately brought El-Sisi to power (Menshawy, 2021). El-Sisi, a former military general now widely regarded as authoritarian, has since spearheaded Egypt's major infrastructural projects.

Thus, given Egypt's reliance on development finance to fund both its future and its present, there is little surprise that questions surrounding the necessity and legitimacy of the NAC project, especially in a time of financial strain, are being raised.

China's Stake in Egypt's New Capital

Khaled Abbas, Chairman of the Administrative Capital for Urban Development (ACUD), insists that the project is fully self-funded. ACUD is majority-owned by the Ministry of Defence (51%), with the Ministry of Housing holding the remaining 49% (Lewis, 2024). Land sales remain its primary revenue stream, and with the value of state-owned property in Central Cairo continuing to rise, ACUD has reported high returns.

Yet the credibility of this self-sufficiency narrative falters when external financing is considered. China has invested an estimated $3.8 billion into the project (Dettoni, 2025). The state-owned China State Construction Engineering Corporation (CSCEC) is not only overseeing construction but also controlling the operation of the Central Business Dis-

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trict (Nyabiage, 2025). With an 85% stake in what Egypt envisions as the "financial capital of Africa," Beijing now occupies a strategically pivotal role (Dettoni, 2025).

While such capital inflows are welcomed in a time of financial strain, they come at a cost. Allowing a foreign power to administer the core of the new capital raises profound security concerns. These are not unfounded: in 2018, the African Union headquarters in Addis Ababa (built as a "gift" from China) was discovered to have been bugged during construction (Dettoni, 2025). The episode underscored China's growing influence over Africa's critical assets.

By sitting at the junction of Africa and the Middle East, Egypt controls the Suez Canal – a vital artery of global trade that China deems economically and geopolitically indispensable. Moreover, with 4% of Egypt's debt (roughly $6.3 billion) owed to China, the asymmetry of power is hard to ignore (Dettoni, 2025). China clearly sees Egypt as a strategic investment; however, for Egypt, core national infrastructure is now increasingly tied to an external power.

Egypt's Economic Strain

Pursuing the NAC project amid Egypt's mounting economic turmoil risks appearing indifferent to the daily struggles of its population. The country is burdened by deep structural challenges: that continue to stifle growth and stability. Egypt remains the world's largest grain importer (Heaton, 2025), leaving it acutely vulnerable to global price shocks. To shield its citizens, the government subsidises bread for over 70 million people (Reuters, 2025), a massive fiscal burden that underscores the fragility of state finances. At the same time, nearly 35 million Egyptians still live below the national poverty line, navigating a political and economic environment that offers little respite (Reuters, 2025).

External shocks have compounded these pressures: in 2024, Houthi attacks linked to the war in Gaza slashed national revenues by 145 billion Egyptian pounds (Reuters, 2025). Similarly, inflation skyrocketed to 41% in 2023, eroding purchasing power and driving up the cost of living (Reuters, 2025). Coupled with high unemployment and a state-led economic model that continues to crowd out private enterprise, these conditions have deepened inequality and stoked public discontent. Even with external lifelines, the picture remains bleak. The World Bank injected $6 billion over three years to support Egypt (Lewis, 2024), while the IMF raised its loan commitment from $3 to $8 billion on the condition of cutting infrastructure spending. Yet, this is precisely the type of outlay fuelling inflation pressures (Lewis, 2024).

Against this backdrop, the NAC looks less ambition and more distraction. Its multi-billion-dollar cost is hard to justify amid strained finances and rising hardship, while reliance on Chinese backing underscores El-Sisi's drive to push it through at any cost.

> "With 4% of Egypt's debt (roughly $6.3 billion) owed to China, the asymmetry of power is hard to ignore"

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MENA's Debt Dynamics: Balancing Growth and Fiscal Sustainability

Lara Wipperich

Over the past decade, government spending in the MENA region has risen sharply, with significant resources directed toward infrastructure and development. While this borrowing has enabled states to finance critical projects and sustain social stability, questions persist over the sustainability of rising debt levels. According to the World Bank (2024), external debt in MENA reached US$443 billion in 2023 – the highest in a decade. These debt trajectories reflect a mix of structural and cyclical pressures: oil price volatility, political instability, and the COVID-19 pandemic have disrupted fiscal balances, even as ambitious national development plans continue to prioritize large-scale infrastructure in transport, energy, and urban growth (IEMed, n.d.; World Bank, n.d.).

The Debt Sustainability Framework

Debt sustainability, often defined as a country's ability to meet obligations without requiring relief or accumulating arrears (Development Finance, n.d.), provides a critical lens through which to assess these trends. Since 2003, the IMF has used "Vulnerability Indicators" such as debt-to-GDP, debt service-to-revenue ratios, and the share of short-term external debt to evaluate long-term risks (World Bank, n.d.). Yet these metrics alone are insufficient. Sustainability also depends on a government's ability to generate stable revenues, maintain fiscal discipline, and access borrowing at manageable costs (UNESCWA, 2023).

International institutions further highlight the importance of institutional strength, credible fiscal policy, and economic growth potential in shaping debt dynamics. Infrastructure spending can underpin diversification and job creation, but excessive reliance on borrowing risks tipping economies into unsustainable trajectories. In the Arab region, debt sustainability is particularly contingent on resilience to external shocks, with oil-exporting and non-oil-exporting states facing divergent structural vulnerabilities (Economic Research Forum, 2025).

Surveying the Field

The MENA region is far from homogenous; debt dynamics are shaped by political contexts and resource endowments. Oil-exporting economies such as Saudi Arabia, Bahrain, and the UAE benefit from substantial fiscal space, with limits exceeding 160% of GDP (Economic Research Forum, 2025). Revenues from oil provide a buffer against shocks, enabling debt repayment and continued investment during periods of high prices. Yet this resilience is precarious: falling oil prices quickly translate into widening deficits, while the global energy transition threatens long-term revenue stability. Sustainable debt management in these states will hinge on chan-

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neling windfalls into stabilization funds, prioritizing high-return infrastructure, and strengthening fiscal frameworks to smooth spending across cycles (IMF, 2022; World Bank, 2020).

By contrast, non-oil exporters such as Egypt, Tunisia, and Morocco face much tighter fiscal constraints. Without oil revenues to fall back on, these countries rely heavily on external borrowing, concessional loans, and multilateral support to finance infrastructure gaps in transport, energy, and digital connectivity. This dependence increases vulnerability to rising interest rates, currency depreciation, and shifting investor sentiment (World Bank, 2022; IMF, 2023). Debt service costs often crowd out social and development spending.

Morocco has made some headway through fiscal reforms, but Egypt and Tunisia remain under significant strain. Tunisia's public debt rose from 67.8% of GDP in 2019 to an estimated 81.2% in 2024 (World Bank, 2022). Nonetheless, the country continues to push ahead with large-scale infrastructure projects worth approximately $27 billion, particularly in construction and energy (IEMed, n.d.; World Bank, 2022).

Toward Sustainable Infrastructure and Fiscal Stability

To manage rising public debt while sustaining infrastructure-led growth, MENA countries must pursue differentiated policy strategies. For non-oil exporters such as Egypt and Tunisia, priority lies in strengthening revenue mobilization through tax reform, rationalizing subsidies, and channeling borrowing toward high-return infrastructure to avoid debt overhang (World Bank, 2022; IMF, 2023). Morocco's path of gradual fiscal consolidation and improved investment efficiency illustrates how scaling up green bonds and climate-linked financing can align infrastructure with sustainability goals (World Bank, 2022; IEMed, 2024). More broadly, enhancing fiscal transparency, adopting medium-term expenditure frameworks, and establishing stabilization mechanisms will be essential to protect infrastructure spending from political cycles and external shocks (UNESCWA, 2023).

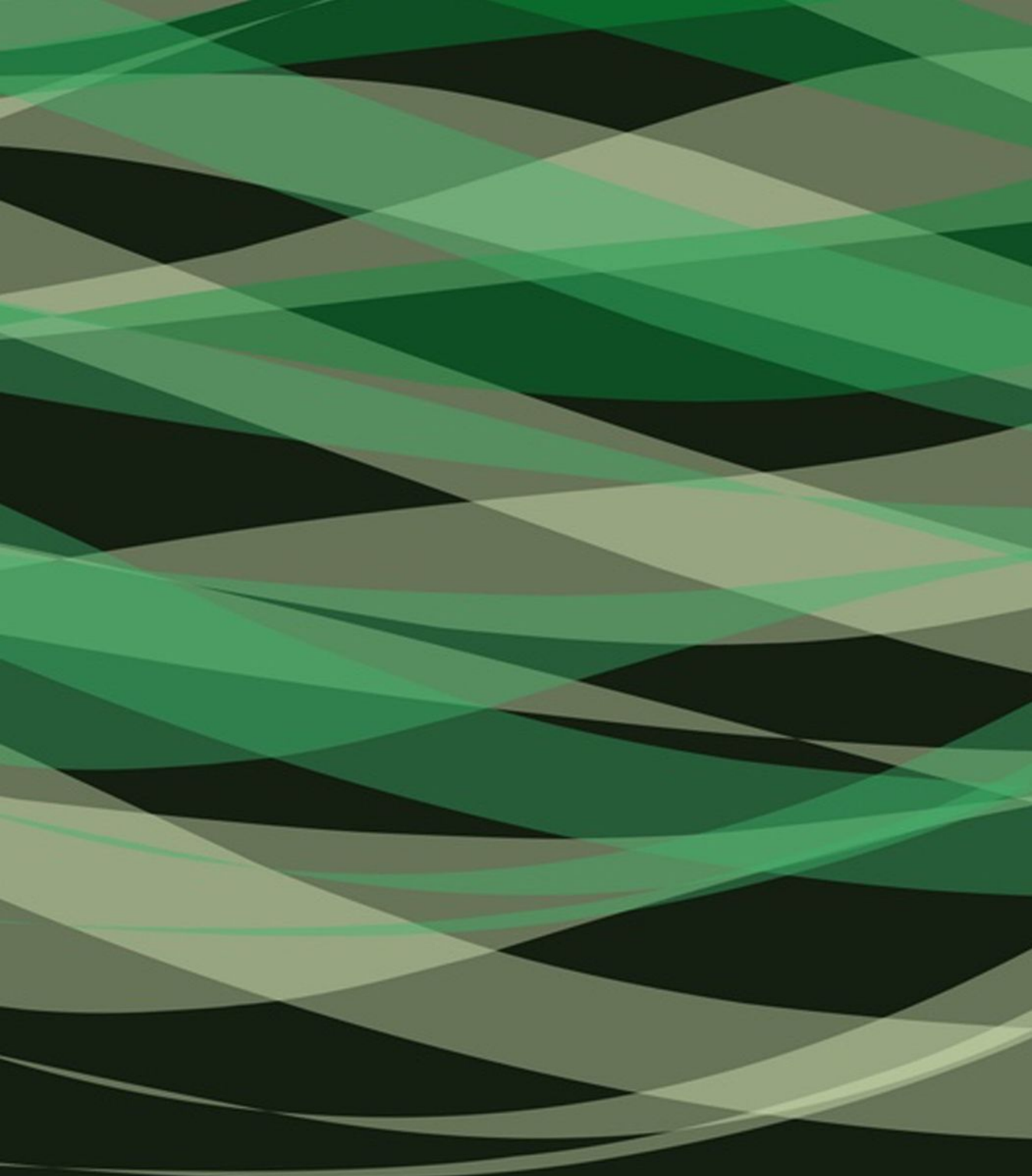
Conclusion

The analysis of public debt and infrastructure spending in MENA underscores the delicate balance between fostering growth and maintaining fiscal sustainability. Oil exporters enjoy temporary fiscal buffers, yet remain exposed to commodity volatility and the uncertainties of the energy transition (IMF, 2022; World Bank, 2020). Non-oil exporters face sharper constraints, relying heavily on external borrowing and limited fiscal space (World Bank, 2022; IMF, 2023). Ensuring sustainable infrastructure-led growth will require stronger revenue mobilization, more efficient public investment, innovative financing instruments, and medium-term fiscal frameworks that shield development priorities from cyclical and external shocks (UNESCWA, 2023).

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> “Establishing stabilsation mechanisms will be essential to protect infrastructure spending from political cycles and external shocks”



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